C. Rangarajan[34] (RBI Governor, 1992–1997) swiftly sounded a cautionary note, stating categorically, 'This is basically a balance sheet problem and it is *not a profit in any sense of the term*. The reduction in the liability side will be matched by the reduction in the asset side. There is no capital gain or capital loss as far as the RBI is concerned. Therefore, I would really say that *there is no scope for any extra dividend to be declared* to the government.'[35]

D. Subbarao[36] (RBI Governor, 2008–2013) made several important legal and accounting points on the same subject:[37]

> All currency issued by the RBI carries a promise by the Governor to pay the bearer a sum equivalent to the value of the currency. This is a legal obligation…Will the RBI treat 'the promise to pay' as a continuing liability and transfer an amount equivalent to the wealth destroyed to a special reserve? Or will it treat this as an extinguished liability and account for it as 'profit'?

Subbarao also raised a very important question that remains unanswered. '*Can the RBI withdraw from its sovereign obligation to honour its promise to pay the bearer of an Indian currency note?*'

The views of former Governors Rangarajan and Subbarao served to dampen the enthusiastic plans of the ruling party's spokespersons of appropriating the Demonetization Dividend, though these were only finally laid to rest as it became apparent that practically all the currency demonetized had been returned to the banking system.

In August 2018, the RBI confirmed that 99.35 per cent of the currency demonetized had been returned to the banking system. Only ₹10,720 crore had not been returned, a far cry from the ₹3–4 lakh crore that had been enthusiastically anticipated. This amount could reduce further, as there are a large number of demonetized notes being held by various district central cooperative banks (DCCBs) which had not yet been accepted by the RBI due to pending cases before the Supreme Court.

The actual dividend finally declared and transferred to the Central Government by the RBI for FY 16–17, was only ₹30,659 crore as compared to ₹65,876 crore in the previous year, a decline of 53 per